INTERTEK GROUP PLC

Equity Valuation | Deal Scenario Analysis | Investment Recommendation

ITRK.L | London Stock Exchange | Testing, Inspection & Certification

Price	**£37.34**	WACC	**7.36%**
Market Cap	**£5,802mm**	DCF Target	**£50.99–£63.60**
EV	**£6,844mm**	Upside	**+36% to +70%**

Intertek is a structurally undervalued TIC platform at the centre of a sector consolidation wave. Bureau Veritas approached Intertek before pivoting to SGS and that deal also collapsed. Our standalone DCF implies 36–70% upside; a strategic acquisition at sector multiples implies further upside; and a PE take-private generates 22%+ IRR at current entry prices.

March 2025

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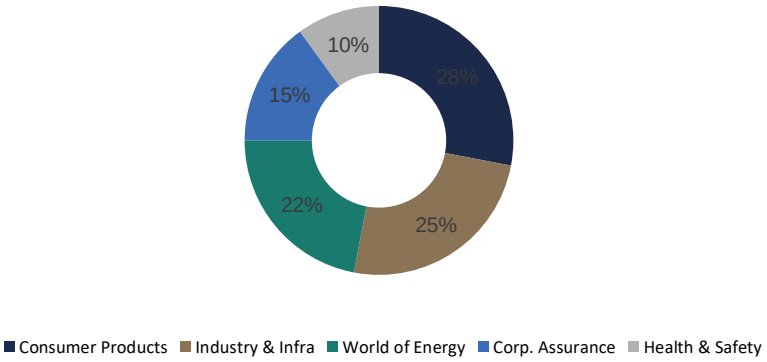
01 COMPANY PROFILE

Intertek Group plc is the world's leading Testing, Inspection & Certification (TIC) provider, serving 400,000+ clients across 100+ countries with 1,000+ laboratories and 45,000 employees.

Founded in 1885, the company operates five segments: Consumer Products (28% of revenue), Industry & Infrastructure (25%), World of Energy (22%), Corporate Assurance (15%), and Health & Safety (10%).

The TIC market ($247B in 2024, growing at 3.8% CAGR to $345B by 2033) is driven by regulatory complexity, ESG mandates, AI compliance, and supply-chain diversification. Intertek ranks #4 globally behind SGS, Bureau Veritas, and Eurofins.

FY2024 Revenue by Segment



£3,393mm	£748mm	£554mm	121%	0.7x
Revenue	EBITDA	EBIT	Cash Conversion	Net Debt/EBITDA
+1.9% YoY	22.0% margin	16.3% margin	Record high	Target 1.3-1.8x

SWOT ANALYSIS

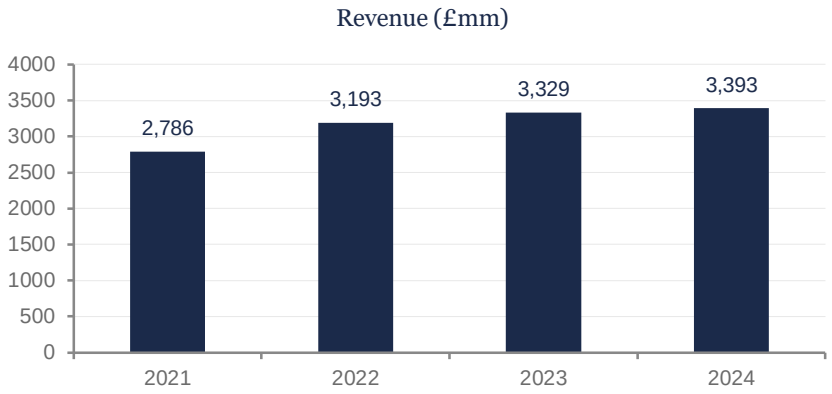
S Global #1 TIC; asset-light; 121% cash conv.; diversified across 5 segments & 100+ countries

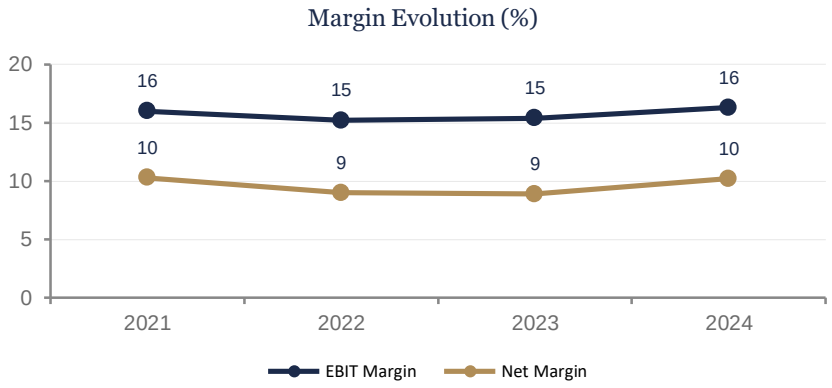
W FX headwinds (GBP strength); GTS contract losses (2022); lower margins vs SGS in some verticals

O ESG/AI regulation tailwinds; M&A target (BV talks 2024); bolt-on pipeline; China recovery

T TIC fee commoditization; PE competition for targets; macro slowdown in trade volumes

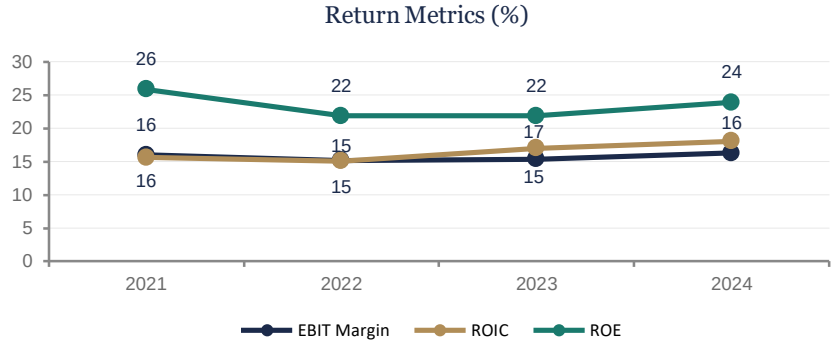
02 HISTORICAL FINANCIAL PERFORMANCE

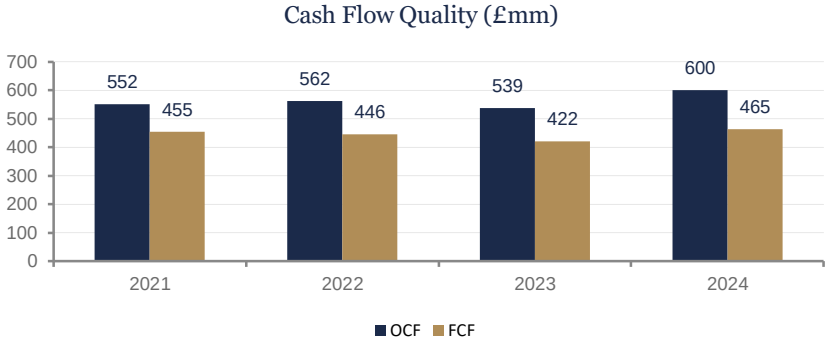




	2021A	2022A	2023A	2024A	2025E	2026E
Revenue	2,786	3,193	3,329	3,393	3,614	3,831
EBITDA	644	700	723	748	791	838
EBIT	445	485	514	554	582	653
Net Income	288	289	297	345	361	410
EBIT Margin	16.0%	15.2%	15.4%	16.3%	16.1%	17.0%
ROE	25.9%	21.9%	21.9%	23.9%	21.8%	21.7%
ROIC	15.6%	15.1%	17.0%	18.1%	—	—
FCF	455	446	422	465	434	430

02b HISTORICAL ANALYSIS : QUALITY OF EARNINGS





BALANCE SHEET HEALTH & WORKING CAPITAL

	2021A	2022A	2023A	2024A	Trend / Insight
Current Ratio	0.76	0.96	1.09	1.10	*Steady improvement; now >1.0x : healthy*
Debt / Equity	0.95x	0.86x	0.72x	0.63x	*Aggressive deleveraging; down 34% in 3yrs*
ICR	29.9x	11.3x	11.1x	12.8x	*Comfortable; 2021 high due to low debt*
DSO (days)	73	71	68	68	*Improving collections; down 5 days in 3yrs*
DPO (days)	26	25	29	31	*Stretching payables ; positive for cash*
CCC (days)	50	48	42	40	*Cash cycle shortening ; excellent WC mgmt*
CapEx/D&A	0.49x	0.54x	0.56x	0.70x	*Rising reinvestment; still below 1.0x (asset-light)*
ROIC	15.6%	15.1%	17.0%	18.1%	*Expanding; well above WACC of 7.4%*

02c FORECAST MODEL — 3-STATEMENT PROJECTIONS

PROJECTED INCOME STATEMENT (£mm)

	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	3,393	3,614	3,831	4,034	4,247	4,460
Growth %	1.9%	6.5%	6.0%	5.3%	5.3%	5.0%
Gross Profit	748	791	838	883	929	976
D&A	(194)	(209)	(186)	(172)	(165)	(162)
EBIT	554	582	653	711	765	814
EBIT Margin	16.3%	16.1%	17.0%	17.6%	18.0%	18.3%
EBT	490	519	589	647	701	751
Taxes	(123)	(133)	(151)	(166)	(180)	(192)
Net Income	**345**	**361**	**410**	**450**	**488**	**522**

PROJECTED FREE CASH FLOW (£mm)

	2024A	2025E	2026E	2027E	2028E	2029E
CFO	600	670	721	769	822	883
CapEx	(135)	(132)	(140)	(147)	(155)	(163)
CFI	(145)	(132)	(140)	(147)	(155)	(163)
Dividends	(206)	(152)	(173)	(190)	(206)	(221)
CFF	(402)	(177)	(198)	(215)	(231)	(245)
Net ΔCash	**38**	**361**	**383**	**406**	**436**	**475**
Ending Cash	**343**	**704**	**1,086**	**1,493**	**1,929**	**2,404**

02d SUPPORTING SCHEDULES : KEY DRIVERS

REVENUE LFL BRIDGE (Management Framework : which it uses it for its own strategic analysis and guidance)

	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
LFL Organic %	5.6%	4.9%	6.2%	6.3%	6.0%	5.5%	5.0%	5.0%	5.0%
FX Impact %	0.3%	4.1%	–2.9%	–4.7%	0%	0%	0%	0%	0%
M&A Contribution %	8.7%	5.6%	1.0%	0.3%	0.5%	0.5%	0.3%	0.3%	0%
Total Growth %	**14.6%**	**14.6%**	**4.3%**	**1.9%**	**6.5%**	**6.0%**	**5.3%**	**5.3%**	**5.0%**

Segment LFL: Consumer Prod. 5.5%→5.0% | Industry & Infra 4.0% flat | World of Energy 6.5%→5.0% (tapers) | Corp. Assurance 7.5%→6.0% (ESG tailwind) | Health & Safety 7.5%→6.5%

PP&E ROLL-FORWARD (£mm)

	2024A	2025E	2026E	2027E	2028E	2029E
Beg. Net PP&E	670	693	616	571	547	537
(+) CapEx	135	132	140	147	155	163
CapEx % Rev	4.0%	3.7%	3.7%	3.7%	3.7%	3.7%
(–) Depreciation	(194)	(209)	(186)	(172)	(165)	(162)
D&A % Beg. PPE	28.0%	30.1%	30.1%	30.1%	30.1%	30.1%
End. Net PP&E	**693**	**616**	**571**	**547**	**537**	**539**

OTHER KEY SCHEDULES

Assumption	Historical Avg	Forecast	Source / Rationale
DSO (days)	70.1 (4yr avg)	68.1	2-year avg; improving collection trend
DIO (days)	2.5	2.5	Minimal inventory; TIC is services-based
DPO (days)	27.7 (4yr avg)	29.7	2-year avg; stretching payables (positive)
Gross Margin %	22.0% (4yr avg)	21.9%	2-year avg; stable ; expansion captured at EBIT via D&A
ETR %	25.6%	25.6%	FY2024 effective rate; UK statutory 25% + intl. blend
Unusual Expense (% Rev)	–1.0%	–1.0%	Avg of 4 years; restructuring costs normalised
Other Income (% Rev)	0.2%	0.2%	Average of 4 years
Dividend Payout %	42.2%	42.2%	FY2024 actual; consistent with 65% of adjusted EPS policy

03 KEY ASSUMPTIONS & FORECAST RATIONALE

Revenue Growth

6.5% → 5.0%

Anchored to Intertek's LFL bridge framework. 4-year average organic growth = 5.8%. Segment-level: Consumer Products +5.5%, World of Energy +6.5%, Corporate Assurance +7.5%. Tapers to 5% by Year 5 as market matures. FX impact modelled at constant currency (0%).

Gross Margin

21.9% (flat)

Stable at 2-year average. Gross margin has ranged 21.7–23.1% over 4 years. Management targeting 18.5%+ operating margin through mix shift and cost programme, but gross margin expansion is captured at EBIT level through operating leverage on D&A.

D&A / CapEx

30.1% of PP&E / 3.7% of Rev

Depreciation as % of beginning PP&E (historical average). CapEx at 3.7% of revenue consistent with management guidance of ~5% including leases. Asset-light model: CapEx/Depreciation ratio rising from 0.49x (2021) to 0.70x (2024) signals investment cycle.

Working Capital

DSO 68d / DPO 30d / DIO 2.5d

Days outstanding method using FY2024 actuals held constant. Cash conversion cycle of 40 days reflects B2B model with large corporate clients and short inspection cycles. Consistent with peer benchmarks (SGS: ~65d DSO).

Effective Tax Rate

25.6%

Historical 4-year average ETR. UK statutory rate is 25%; blended higher due to international exposure. No NOL carryforward assumed. Management guided 26.5-27.5% for FY2023; model uses actual realised rate.

Terminal Growth

2.5%

UK long-run nominal GDP proxy (BoE 2% inflation target + ~0.5% real growth). TIC market CAGR is 3.8% but terminal rate reflects post-maturity steady state. Conservative vs peers; ensures g < WACC constraint satisfied.

04 DCF VALUATION : WACC DERIVATION

WACC BUILD-UP

Risk-Free Rate (Rf)	**4.55%**	*UK 10Y Gilt (Mar 2026)*
Equity Risk Premium	**5.50%**	*Damodaran implied ERP, Jan 2026*
Levered Beta	**0.71**	*Avg: Yahoo 0.65, Bloomberg 0.72, Peer 0.75*
→ Cost of Equity (Ke)	**8.02%**	*CAPM: Rf + β × ERP*
Pre-tax Cost of Debt	**5.50%**	*Baa2/BBB credit rating spread*
Tax Rate	**25.6%**	*FY2024 effective rate*
→ After-tax Kd	**4.1%**	*Kd × (1-t)*
Equity Weight	**83.3%**	*Market cap / (MC+Net Debt)*
Debt Weight	**16.7%**	*Net debt / (MC+Net Debt)*
WACC	**7.36%**	Ke×We + Kd(1-t)×Wd

WHY β = 0.71?

We average three beta sources to reduce estimation error: Yahoo Finance 5Y monthly (0.65), Bloomberg 2Y weekly (0.72), and TIC peer group median (0.75). The resulting 0.71 is then unlevered to 0.55 and relevered at target D/E of 0.15x to 0.61. Low beta reflects TIC's defensive, non-discretionary demand clients must test & certify regardless of cycle. Cross-validated: SGS (0.70), Bureau Veritas (0.75), Eurofins (0.80).

TERMINAL VALUE — TWO METHODS

Method 1: Perpetuity Growth

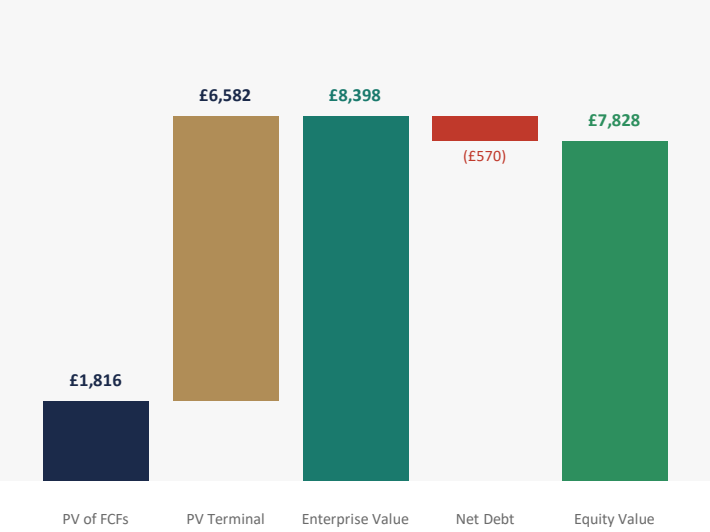
Terminal Growth Rate	**2.5%**
Terminal Year FCF	**£441mm**
PV of Terminal Value	**£6,582mm**

Method 2: Exit Multiple

Exit EV/EBITDA	**12.0x**	TIC sector median
Terminal Year EBITDA	**£977mm**	
PV of Terminal Value	**£8,518mm**	

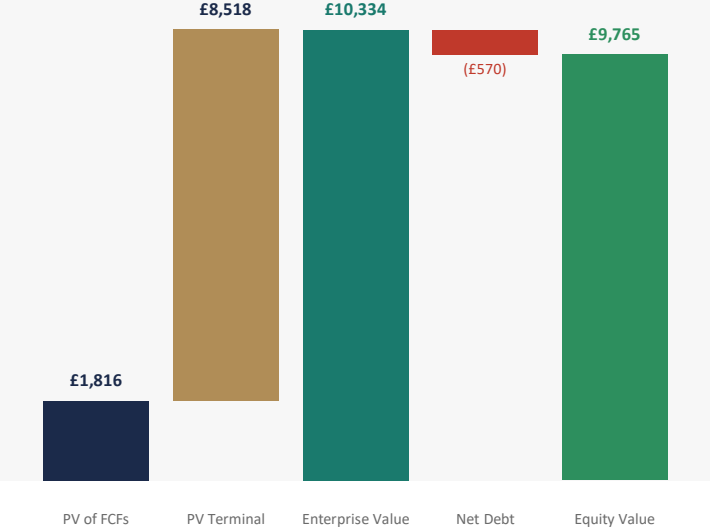
05 EV-TO-EQUITY BRIDGE

Method 1: Perpetuity Growth



÷ 153.5mm shares = **£50.65 per share**

Method 2: Exit Multiple



÷ 153.5mm shares = **£63.52 per share**

Both DCF methods imply 36–70% upside to the current £37.34 price. The difference (£50.65 vs £63.52) reflects method sensitivity ; exit multiple captures higher peer re-rating potential.

06 TRADING COMPARABLES

Company	Ticker	MktCap	EV/Rev	EV/EBITDA	EV/EBIT	P/E	Debt/EV
Intertek	**ITRK GB**	**£5,802**	**2.57x**	**11.2x**	**15.1x**	**21.2x**	**19%**
SGS	SGSN SW	£16,739	2.52x	13.5x	19.5x	26.1x	24%
Bureau Veritas	BVI FP	£10,096	2.14x	11.4x	15.2x	20.6x	22%
Eurofins	ERF FP	£9,743	2.15x	9.8x	18.5x	23.6x	35%
ALS Limited	ALQ AU	£5,836	3.10x	17.0x	25.1x	29.1x	22%
Wolters Kluwer	WLK NL	£13,181	3.92x	9.6x	12.5x	15.6x	21%
Peer Mean			**2.77x**	**12.3x**	**18.1x**	**23.0x**	

WHY THESE COMPS?

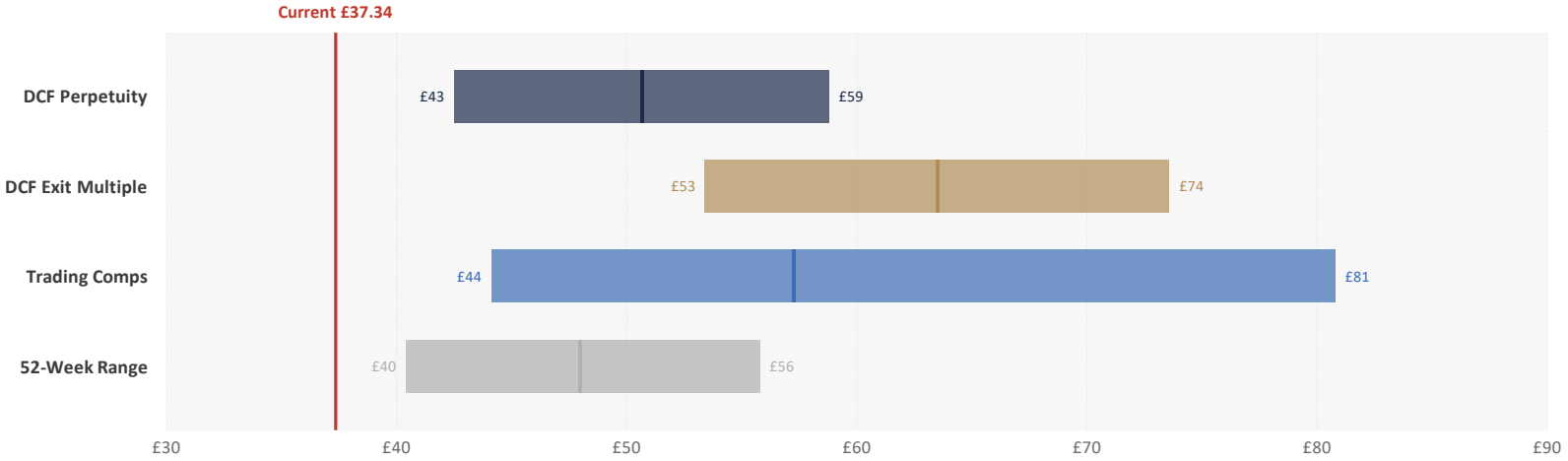
- SGS: Closest peer — Swiss TIC leader, global scale, identical end-markets. Premium for size.
- Bureau Veritas: French TIC player with confirmed M&A interest in Intertek (2024 talks).
- Eurofins: Lab-focused TIC with life sciences tilt — growth premium reference.
- ALS/Wolters Kluwer: Small-cap anchor and quality compounder for range.

INTERTEK DISCOUNT TO PEERS

EV/Revenue	2.57x vs 2.87x mean	**–30% discount**
EV/EBITDA	11.2x vs 12.7x mean	**–29% discount**
P/E	21.2x vs 23.0x mean	**–8% discount**

Despite superior ROIC (18.1% vs peer avg) and best-in-class cash conversion (121%), Intertek trades at a significant discount on all key multiples — suggesting mispricing or an opportunity.

07 FOOTBALL FIELD & SENSITIVITY ANALYSIS



WACC vs Terminal Growth — Implied Share Price (£)

WACC↓ / g→	1.5%	2.0%	2.5%	3.0%	3.5%
5.4%	£66.3	£75.2	£87.1	£103.9	£129.7
6.4%	£52.4	£57.6	£64.2	£72.8	£84.3
7.4%	£43.1	£46.6	**£50.7**	£55.8	£62.2
8.4%	£36.6	£39.0	£41.8	£45.1	£49.1
9.4%	£31.7	£33.4	£35.4	£37.7	£40.5

Mergers & Acquisitions + Add to myFT

Bureau Veritas ditched talks with UK's Intertek to seek €31bn Swiss deal

Anglo-French tie-up discussions shelved in favour of possible deal with rival SGS

Bureau Veritas and SGS would have about 8% of the growing €160-180bn testing and certification industry © Benjamin Girette/Bloomberg

Arash Massoudi, Adrienne Klasa and Ivan Levingston

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https://www.ft.com/content/2a729200-318c-4d6a-8177-041ce54c1ac9?syn-25a6b1a6=1

11 DAYS LATER: The SGS–Bureau Veritas €31bn mega-merger also collapsed (Jan 27, 2025). Two consecutive TIC mega-deals failed. The consolidation thesis is alive ; but has not yet found its target.

POTENTIAL DEAL SCENARIO ANALYSIS

WHY THIS MATTERS

Intertek was Bureau Veritas's first choice before SGS. The company is a confirmed M&A target at the highest level of the TIC industry.

Both mega-deals collapsing doesn't kill the consolidation thesis ; it redirects it. The sector's structural logic for combination (scale, synergies, client cross-sell) hasn't changed.

PE is circling. Private equity now accounts for 36% of TIC deal flow (up from 22% in 2015). When strategic mergers fail, PE steps into the vacuum.

WHAT WE MODELLED AND WHY

Given that Intertek is a confirmed acquisition target in a sector where consolidation is structurally inevitable, we modelled two deal scenarios on top of our standalone DCF to capture the full range of outcomes an investor should consider:

Deal Scenario A : Strategic M&A: What happens if Bureau Veritas, SGS, Temasek, or a PE consortium acquires Intertek? We model takeout premiums (20–50%), synergy value (£210mm p.a. / £2.1B capitalised), and map the full bidder universe with likelihood-weighted offer ranges. At a 30% premium, Intertek is valued at just 10.5x EV/EBITDA ; still below the sector median of 14.3x.
Deal Scenario B : PE Take-Private: If strategic deals keep collapsing, PE is the natural buyer. We build a full 5-year LBO model - 4.5x leverage, 30bps/yr margin expansion, £150mm/yr bolt-on M&A and show that even the conservative exit (10x, secondary buyout) delivers 2.2x MOIC / 17% IRR. The base case (12x strategic exit) delivers 2.7x / 22%.

The next two sections present these scenarios in detail.

08 DEAL SCENARIO A : TIC SECTOR CONSOLIDATION WAVE

Bureau Veritas held "long-running" merger discussions with Intertek in late 2024 before pivoting to SGS and that deal also collapsed on Jan 27, 2025. Bureau Veritas stated a "strong belief in the value of consolidation in TIC." Intertek remains the most logical remaining partner. The TIC sector ($246B, growing to $345B by 2033) has averaged 131 M&A deals per year, with PE share rising from 22% (2015) to 36% (H1 2025).

CONFIRMED M&A INTEREST IN INTERTEK

Late 2024	**BV–Intertek Merger Talks** Bureau Veritas held direct merger discussions with Intertek per FT/Bloomberg. Anglo-French TIC champion; complementary portfolios.
Jan 2025	**SGS–BV Merger Collapse** Bureau Veritas pivoted from Intertek to SGS for €31B mega-merger. Collapsed Jan 27 over execution risk, regulatory timeline (12-15 months), management alignment.
2024-25	**Wendel (BV 26.5% owner)** Wendel actively seeking strategic combinations; sold 9% BV stake. Consolidation thesis intact — Intertek is the logical next partner.
Jan 2025	**RBC Capital Markets** Intertek could benefit from SGS-BV collapse via new contracts or acquiring divested units from any future deal.

WHY INTERTEK IS THE #1 TIC M&A TARGET

Confirmed Target: BV held direct talks in 2024 — validates Intertek at highest level

Deep Discount: 8.2x EV/EBITDA vs sector median 14.3x — 43% discount to peers

Margin Runway: Op. margin 17.4%; target 18.5%+; acquisitions deliver 25.1% margin

Asset-Light: 121% cash conversion; 3.7% capex/revenue; mission-critical recurring revenue

Regulatory Tailwinds: EU AI Act, ESG mandates, supply chain compliance drive structural demand

Low Leverage: Net debt/EBITDA 0.7x vs target 1.3-1.8x — room for acquirer leverage

08b DEAL SCENARIO A : TAKEOUT VALUATION & BIDDERS

PRECEDENT TIC M&A TRANSACTIONS

Date	Target	Acquirer	Type	EV	EV/EBITDA	Prem.	Status	Strategic Rationale
Jan 2025	SGS + BV	Merger	Strategic	~$33B	~15x	n/a	Collapsed	€400mm synergies; $30B+ TIC champion
Late 2024	Intertek	Bureau Veritas	Strategic	~£8B	~11x	n/a	Collapsed	Anglo-French champion; Wendel pivoted to SGS
Jun 2024	Applus+	TDR/I Squared	PE	€2.4B	~12x	~30%	Done	Take-private; beat Apollo bid
2022	Element Mat.	Temasek	SWF	~$7B	~20x+	Sig.	Done	Lab TIC leader; life sciences & connected tech
2024	BV Food Div.	Mérieux	Divest.	€360mm	n/d	n/a	Done	Non-core at 2.7x revenue

TAKEOUT PREMIUM SCENARIOS

Scenario	Premium	Price (£)	Equity (£mm)	EV (£mm)	EV/EBITDA LTM	EV/EBITDA '25E
Conservative	20%	44.81	6,879	7,449	9.8x	9.4x
Low	25%	46.68	7,166	7,736	10.1x	9.8x
Base Case	**30%**	**48.54**	**7,453**	**8,023**	**10.5x**	**10.1x**
Moderate	35%	50.41	7,739	8,309	10.9x	10.5x
Aggressive	40%	52.28	8,026	8,596	11.3x	10.9x
Full Control	50%	56.01	8,599	9,169	12.0x	11.6x

SYNERGY ANALYSIS (Combined Rev: £9,859mm — Intertek + Bureau Veritas)

Corporate HQ £40mm (Yr 1-2) + Lab Network £60mm (Yr 2-3) + Procurement & IT £35mm (Yr 1-3) + Revenue Synergies £50mm (Yr 2-4) + Geo Infill £25mm (Yr 2-3) = £210mm total (2.1% of combined rev). At 10x capitalised = £2.1B synergy value. Benchmark: SGS-BV targeted €400mm+ from their ~$33B merger our £210mm is conservative.

TOP BIDDERS: Bureau Veritas/Wendel (HIGH — confirmed talks) | SGS (MED-HIGH — 97 acquisitions, BV deal collapsed) | Temasek (MED — owns Element at $7B) | Apollo/TDR (MED — Applus+ template) | Danaher/Honeywell (LOW-MED)

09 DEAL SCENARIO B : PE TAKE-PRIVATE THESIS

If strategic mega-mergers keep collapsing due to regulatory/cultural complexity, PE becomes the natural alternative. Two consecutive collapses (BV–Intertek, SGS–BV) demonstrate structural barriers to strategic consolidation. PE avoids all of these with a clean take-private and Intertek is a textbook LBO candidate: asset-light, cash-generative, low leverage, clear margin runway.

WHY INTERTEK IS AN IDEAL LBO

Asset-Light Model — 4% capex/revenue

Low reinvestment needs mean maximum cash available for debt service. CapEx/Depreciation of 0.70x signals maintenance-level investment.

Cash Conversion — 121% in FY2024

Cash flow from operations of £600mm on £367mm net income. Working capital discipline (40-day CCC) generates excess cash consistently.

Low Current Leverage — 0.7x Net Debt/EBITDA

Capacity to lever to 4.5x comfortably. Management's own target is 1.3-1.8x PE can safely take to 4-5x given the stability of TIC cash flows.

Margin Expansion Runway — 17.4% → 20%+ achievable

Current op. margin 17.4%; management guides 18.5%+. Recent acquisitions deliver 25.1% margin. PE procurement/pricing playbook adds 30bps/year.

TIC PE PRECEDENT PLAYBOOK

Element Materials	Bridgepoint → Temasek	2012-2022	$700mm→$1B rev; sold at ~$7B EV; 200+ labs	*PE can scale TIC massively via bolt-ons + organic*
Applus+	TDR/I Squared	2024-present	Take-private at €2.4B; beat Apollo's bid	*Strategic complexity → PE steps into vacuum*

09b DEAL SCENARIO B : LBO MODEL & RETURNS

LBO ENTRY ASSUMPTIONS

Entry Premium	**30%**	Base case control premium; TIC precedent (Applus+ ~30%)
Entry Price	**£48.54**	153.5mm shares × £48.54 = £7,453mm equity
Entry EV	**£8,023mm**	Equity + Net Debt £570mm
Entry EV/EBITDA	**10.5x**	LTM; 10.1x on 2025E — below sector median 14.3x
Leverage	**4.5x EBITDA**	£3,559mm debt; comfortable for asset-light TIC
Equity Required	**£4,464mm**	55.6% equity / 44.4% debt split
Cost of Debt	**6.5%**	SOFR + 350-400bps; Baa2/BBB rated
Bolt-on Budget	**£150mm/yr**	Consistent with Intertek's £157mm deployed in 2025

5-YEAR VALUE CREATION MODEL (£mm)

	Entry	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue	3,393	3,638	3,895	4,164	4,447	4,745
Rev Growth	—	7.2%	7.1%	6.9%	6.8%	6.7%
EBITDA Mgn	22.5%	22.8%	23.1%	23.4%	23.7%	24.0%
EBITDA	**763**	**829**	**900**	**974**	**1,054**	**1,139**
UFCF	479	485	529	576	626	679
LFCF	306	177	229	287	351	421
Net D/EBITDA	**4.3x**	**3.7x**	**3.2x**	**2.6x**	**2.1x**	**1.6x**

EXIT SCENARIOS — YEAR 5 (Entry Equity: £4,464mm)

Exit Scenario	Exit EV/EBITDA	Yr 5 EBITDA	Exit EV	Yr 5 Debt	Exit Equity	MOIC	IRR (5yr)
Conservative — 2° Buyout	10.0x	1,139	11,388	1,788	9,600	2.2x	16.5%
Base — Strategic (below med.)	**12.0x**	**1,139**	**13,665**	**1,788**	**11,877**	**2.7x**	**21.6%**
Bull — Strategic (at median)	14.3x	1,139	16,284	1,788	14,497	3.2x	26.6%
Upside — Competitive Auction	16.0x	1,139	18,220	1,788	16,432	3.7x	29.8%

VALUE CREATION TRIPLE PLAY:

(1) MARGIN EXPANSION: 22.5%→24.0% EBITDA margin (+150bps over 5yr via PE procurement/pricing playbook and lab utilisation). (2) DELEVERAGING: 4.3x→1.6x Net Debt/EBITDA ; £1.8B debt paydown from £421mm Yr5 LFCF. (3) MULTIPLE RE-RATING: Entry 10.5x → Exit 12-14x as PE-improved Intertek commands sector-fair multiples. Combined: 2.7x MOIC / 22% IRR at base case ; comfortably above PE hurdle rates.

INVESTMENT RECOMMENDATION

BUY | Target Range: £50.99 – £63.60 | Upside: +36% to +70%

STANDALONE VALUE

- DCF Perpetuity: £50.99 (+36%)
- DCF Exit Multiple: £63.60 (+70%)
- Trading Comps: £57.29 (+53%)
- Blended: £57.15 (+53%)

DEAL UPSIDE

- M&A takeout at 30% prem: £48.54
- At peer EV/EBITDA (12.7x): £70+
- Synergy-adjusted: +£2.1B value
- PE base exit (12x): 2.7x MOIC

KEY CATALYSTS

- May 2025: Investor Day (new LT targets)
- H1 2025: Margin trajectory
- M&A: BV/SGS consolidation revisited
- PE approach post SGS-BV collapse

KEY RISKS: GBP strength compresses CC revenue; global trade slowdown; loss of major contracts; rate hikes pushing WACC higher; M&A deal fails to materialise.

BOTTOM LINE: Whether via standalone re-rating, strategic M&A takeout, or PE take-private, all paths point to significant upside. Intertek is the most mispriced large-cap in the TIC sector.

11 SOURCES & FOOTNOTES

Ref	Source	Type	Data Used	URL / Reference
S1	Intertek Annual Report 2024	Company Filing	IS, BS, CF, KPIs, segments	https://www.intertek.com/investors/results-presentations-announcements/
S2	Intertek Annual Report 2023	Company Filing	Prior-year financials, revenue bridge	https://www.intertek.com/investors/results-presentations-announcements/
S3	Intertek Annual Report 2022	Company Filing	FY2021-2022 historical data	https://www.intertek.com/investors/results-presentations-announcements/
S4	Intertek Investor Relations	Company IR	Earnings, presentations, share data	https://www.intertek.com/investors/results-presentations-announcements/
S5	FactSet	Terminal	Peer comps, multiples, EV, financials	FactSet — https://www.factset.com
S6	Yahoo Finance — ITRK.L	Market Data	Beta (5Y monthly), share price	https://finance.yahoo.com/quote/ITRK.L/
S7	Bloomberg Terminal	Terminal	Beta (2Y weekly), credit data	Bloomberg Terminal – IE Business School
S8	Damodaran Online	Academic	ERP (5.50%), sector betas	https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html
S9	Bank of England — Gilt Yields	Government	Risk-free rate: UK 10Y Gilt (4.55%)	https://www.bankofengland.co.uk/statistics/yield-curves
S10	Intertek Report '24 NOTE 14 & Moody's / S&P Rating	Company , Credit agency	Kd basis	https://www.intertek.com/siteassets/investors/2024/intertek-financial-report-2024.pdf
S11	Aventis Advisors — TIC M&A Report	3rd Party	TIC valuations, deal flow, precedents	https://aventis-advisors.com/ma-in-tic-a-decade-of-steady-volume-and-shifting-value/
S12	SkyQuest / MarketsandMarkets	Research	TIC market size ($246B), CAGR 3.8%	https://www.skyquestt.com/report/testing-inspection-and-certification-market

KEY FOOTNOTES

- PLEASE REFER EXCEL MODEL FOR MORE DETAILS ON METHODOLOGIES AND SOURCES

[1] Beta averaged from 3 sources (Yahoo 0.65, Bloomberg 0.72, Peer 0.75) = 0.707. Unlevered to 0.55, relevered at target D/E 0.15x.

[2] Revenue growth from Intertek management LFL bridge: organic + FX + M&A. Modelled at constant currency.

[3] Terminal growth 2.5% = UK long-run nominal GDP (BoE 2% inflation + 0.5% real). Exit multiple 12.0x = TIC sector median.

[4] Net Debt = ST Debt (£171mm) + LT Debt (£742mm) - Cash (£343mm) = £570mm. Minority interest not deducted (immaterial).

[5] All peer data from FactSet as of Mar 2026. Deal precedents from Aventis Advisors TIC M&A Report (Nov 2025) and FT/Bloomberg reporting.